JTR

SWING TRADING SYSTEM

A Complete Guide to Systematic Swing Trading

40.7%
Avg Annual Return

10/11
Winning Years

57.6%
Win Rate

2.29x
Profit Factor

What is Swing Trading?

Capturing short-term price "swings" — holding for 5 to 30 days

Day Trading	Swing Trading	Investing
Minutes to Hours	5 — 30 Days	Months to Years

No Screen Watching

Decisions after market hours using EOD data

Clear Risk Limits

Every trade has entry, stop-loss, and target

Part-Time Friendly

Can be done alongside a full-time job

Systematic Rules

No emotional decisions — follow the strategy

Trending vs Rangebound Markets

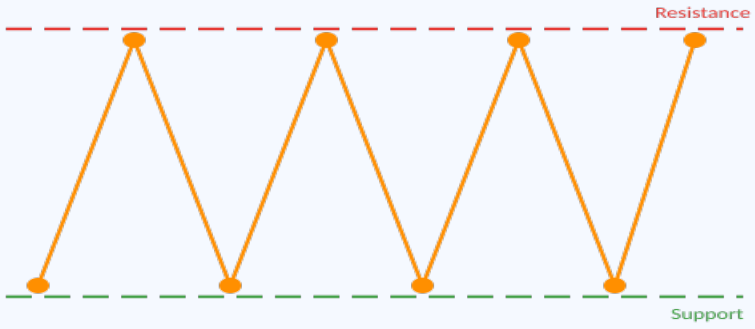
Markets move in two modes — the JTR system has strategies for both

UPTREND

Higher highs + Higher lows

Like climbing stairs — momentum is on your side

RANGEBOUND



Bounces between ceiling and floor

Gains are smaller but support bounces work well

What is a Trading Strategy?

A set of rules — not a gut feeling. Without a strategy, you're gambling.

When to Buy

Entry Signal

When to Take Profit

Exit / Target

When to Cut Losses

Stop-Loss

The Math That Matters

55 wins × ₹8,000 = ₹4,40,000
45 losses × ₹5,000 = ₹2,25,000
Net P&L = ₹2,15,000 profit
(100 trades at ₹2L each, 55% win rate)

Key Insight

You don't need to be right most of the time. A 50% win rate with 1.6x reward/risk is very profitable. Cut losses short, let winners run.

Entry, Exit & Stop-Loss

The three pillars of every trade — never enter without knowing all three

Good Entry

- Near support level (proven floor)
- Green candle (buyers winning)
- No gap-down (no panic selling)

Bad Entry

- "Stock fell a lot" — no setup
- Buying without a stop-loss
- Catching a falling knife

Stop-Loss: Your Insurance Policy

Entry: ₹1,000

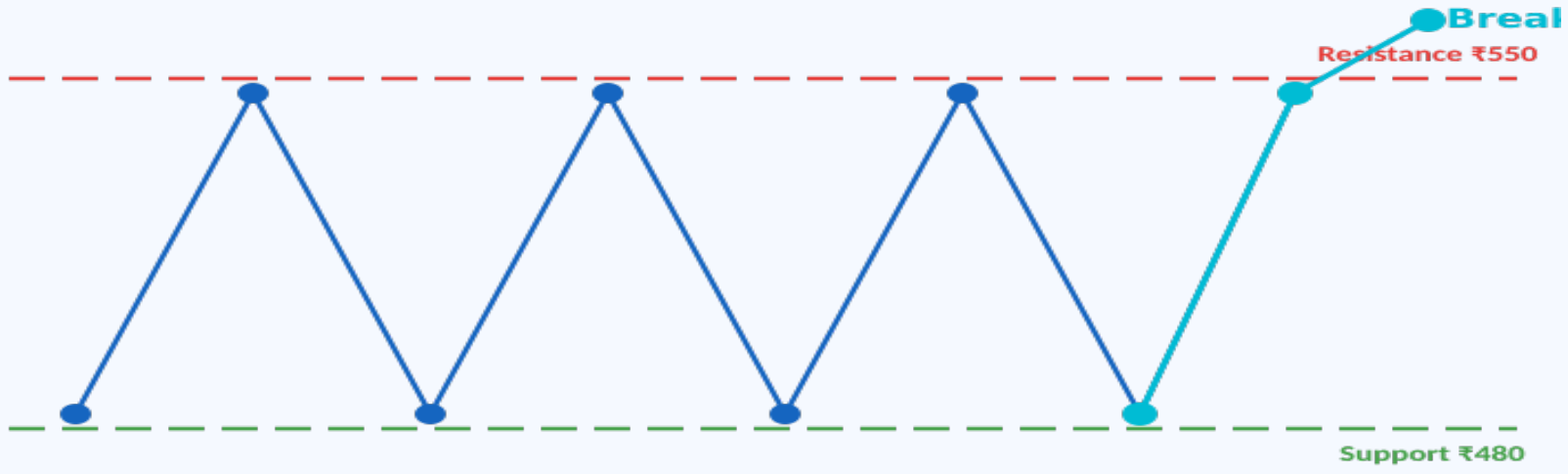
Stop-Loss: ₹950 (−5%)

Golden Rule:
Always know your stop-loss BEFORE you enter.

Without SL: 5% dip → 20-30% loss
With SL: 5% max loss, capital preserved

Support & Resistance

The floor and ceiling of price action — your roadmap for entries and exits



Buy near support = small risk (SL just below) + large reward (up to resistance or breakout)

EMA, Keltner Channel & Pullbacks

The technical indicators that power Strategy T entries

EMA(20) — Moving Average

Smoothed average of last 20 days' closing prices, weighted toward recent. Acts as dynamic support in uptrends. Pullback to EMA = high-probability buy.

Keltner Channel

Upper Band: EMA(20) + 2×ATR
Middle Line: EMA(20)
Lower Band: EMA(20) − 2×ATR

ATR = Average True Range (daily volatility)

Strategy T Logic: Stock touches upper band (strong). Pulls back to EMA (on sale). Buy the dip!

RSI & Bullish Divergence

Two types of divergence — reversals at bottoms AND continuations in uptrends

RSI (Relative Strength Index)

RSI > 70: Overbought
RSI < 30: Oversold (may bounce)
Scale: 0-100, based on 14-day gains vs losses

IBS & CCI Filters

IBS = (Close−Low)/(High−Low)
IBS > 0.5 = closed in upper half (bullish)
CCI(20) > −100: Not in deep freefall

Regular Divergence — Reversal Signal

Price:	₹100	→	₹90	→	₹85	Lower Lows ↓
RSI:	25	→	22	→	28	Higher Lows ↑

Selling exhausted → Buy!
RSI < 40 | Min 3pt divergence

Hidden Divergence — Continuation Signal

Price:	₹420	→	₹390	→	₹410	Higher Low ↑
RSI:	45	→	48	→	39	Lower Low ↓

Uptrend intact → Buy the dip!
RSI < 60 | Min 5pt div | Close > EMA(50)

2-Stage Exits — The Secret Sauce

Sell in two stages — lock in profit early, let winners run to Keltner

Total: ₹10,800 vs ₹5,400 (selling all at +6%)

Stage 2: Upper Keltner (₹1,150)
Sell 60 shares (2/3) → Lock ₹9,000

Stage 1: +6% (₹1,060)
Sell 30 shares (1/3) → Lock ₹1,800 | SL shifts up to 3% below entry

Entry: ₹1,000 — Buy 90 shares

Stop: ₹950 (−5%)

Stage 1 locks in profit early. SL shifts up to 3% below entry (₹950→₹970). Stage 2 lets winners run to upper Keltner. If stock reverses after Stage 1, you still made money.

Strategy J — Weekly Support Bounce

Buy at proven support levels when the stock shows signs of bouncing

The Logic

If a stock held a price for 26 weeks and pulls back again, buyers step in. You buy where the market says "cheap enough."

Condition	Why
Price 0-3% above 26wk support	Near proven floor
IBS > 0.5	Close in upper half
Green candle	Buyers won
CCI(20) > -100	Not in freefall
No gap-down	No overnight panic

Exit — 2-Stage Scale-Out

Stage	Trigger	Action
1	+5%	Sell 50%
2	+10%	Sell remaining
Trail	Chandelier	HH−3×ATR
Safety	10d underwater	Exit all

SL: 26-week lowest weekly low | Nifty drop shield

Example: HDFCBANK

26-week support: ₹1,420

BUY ₹1,438 | Stop ₹1,395 | T1 ₹1,510 | T2 ₹1,582

Strategy T — Keltner Channel Pullback

Buy the dip in a strong uptrend — a proven winner temporarily "on sale"

The Logic

Stock that touched upper Keltner is in strong uptrend. Pullback to EMA(20) = trend intact, temporarily discounted.

Condition	Why
Within 1% of EMA(20)	Pulled back
Touched upper Keltner in 10 bars	Recent strength
Green candle	Bounce starting
No gap-down	No panic

Exit — 2-Stage Scale-Out

Stage	Trigger	Action
1	+6%	Sell 1/3, SL ↑ 3% below entry
2	Upper Keltner	Sell remaining 2/3
Safety	10d underwater	Exit all

SL: 5% hard stop → shifts up to 3% below entry after Stage 1

Example: TRENT

Touched upper Keltner at ₹5,800
BUY ₹5,470 | Stop ₹5,197 | T1 ₹5,798 | T2 ₹6,017

Strategy R — RSI Divergence (Regular + Hidden)

Catches reversals at bottoms AND continuations in uptrends

Regular Divergence — Reversal

Condition	Why
Price: lower low, RSI: higher low	Reversal
RSI divergence ≥ 3 pts	Not noise
RSI(14) < 40	Oversold zone
Green candle, no gap-down	Confirmation

Hidden Divergence — Continuation

Condition	Why
Price: higher low, RSI: lower low	Continuation
RSI divergence ≥ 5 pts	Stronger filter
RSI(14) < 60, Close > EMA(50)	In uptrend
Green candle, no gap-down	Confirmation

Stop: 1% below swing low (structural, 2–5% range)
Exit: Same 2-stage as T: +6% sell 1/3 (SL shifts up to 3% below entry), upper Keltner sell 2/3

Example: TATAPOWER (Regular)

Low1: ₹376 RSI=30.7 → Low2: ₹368 RSI=34.0
Price ↓ RSI ↑ = Divergence! **BUY ₹374 | Stop ₹364**

Example: HAVELLS (Hidden)

Low1: ₹1420 RSI=45.2 → Low2: ₹1455 RSI=38.8
Price ↑ RSI ↓ = Hidden divergence!
Close > EMA(50) ✓ Uptrend intact
BUY ₹1478 | Stop ₹1440 (2.5%)

Regular checked first; hidden only if regular not found

How the Strategies Work Together

Three strategies on Nifty 100 — diversified by market condition

J

Support Bounce

Rangebound

Mean Reversion

T

Keltner Pullback

Trending

Trend Following

R

RSI Divergence

Bottoming

Divergence Reversal

Capital Allocation

₹20L total | ₹2L per trade
Max 3 new trades/day enforced — even if 10 signals fire, only the best 3 are taken.
Signals ranked by risk (lowest volatility first)

Risk Management

J: Weekly low (2-5%)
T: 5% → shifts up to 3% below entry
R: 1% below swing low → shifts up to 3%
Max loss/trade: ₹10,000

11-Year Backtest Results (2015–2025)

Nifty 100, ₹20L capital, ₹2L/trade, 3/day max

Year	Trades	WR%	PF	Return	P&L
2015	223	44.4%	0.91	-3.6%	-0.72L
2016	279	51.3%	1.95	+28.9%	+5.79L
2017	270	59.6%	3.20	+50.8%	+10.16L
2018	306	51.0%	1.61	+22.7%	+4.53L
2019	447	68.2%	3.44	+95.5%	+19.09L
2020	345	62.9%	2.04	+50.4%	+10.08L
2021	274	58.4%	2.44	+43.5%	+8.70L
2022	345	67.8%	2.56	+55.5%	+11.09L
2023	242	57.0%	2.37	+32.5%	+6.51L
2024	267	59.9%	2.05	+32.7%	+6.55L
2025	292	53.4%	2.67	+38.4%	+7.68L

10/11
Winning Years

+40.7%
Avg Return

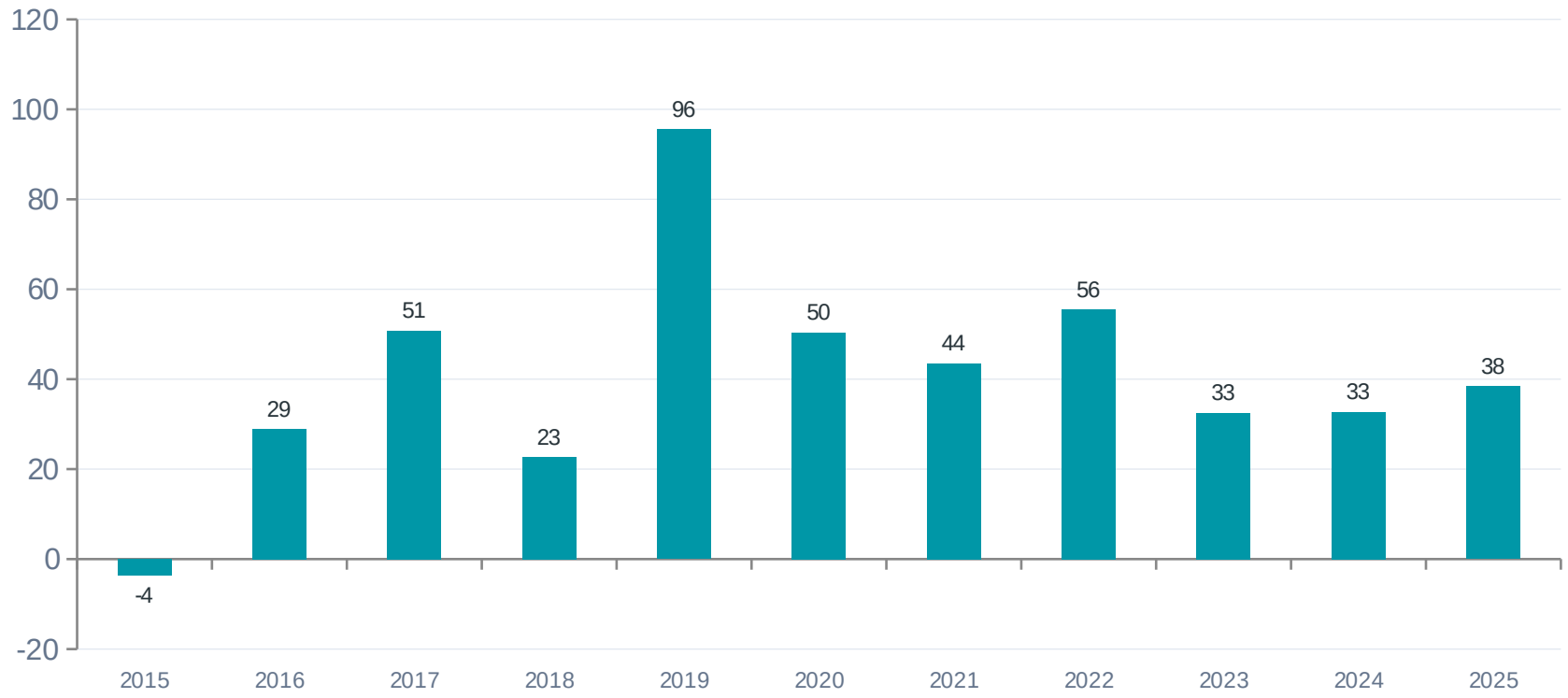
57.6%
Win Rate

2.29x
Profit Factor

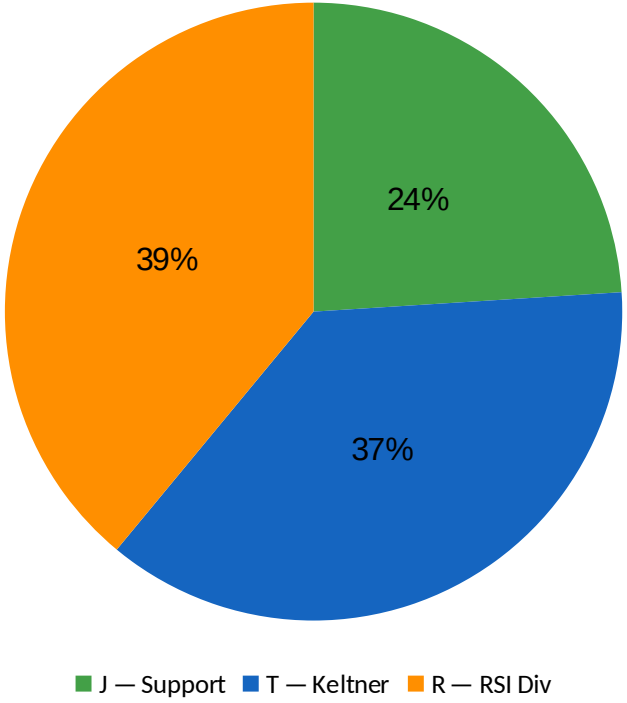
299
Trades/Year

₹89.5L
Total P&L

Annual Returns — 11 Years



Strategy Composition



Strategy R is the Star

65.4% win rate, 56% of total P&L. Catches reversals at bottoms with RSI divergence.

P&L by Strategy

R: ₹49.7L (56%)
T: ₹25.6L (29%)
J: ₹14.1L (16%)

Key Takeaways

Systematic, Not Emotional

Rules-based — no gut feelings or FOMO

Risk First

Max loss per trade: ₹10,000 (5% of ₹2L)

Diversified by Design

J+T+R cover trending, rangebound, bottoming

2-Stage Exits

Lock profit early at +6%, let winners run to Keltner

Proven Track Record

10/11 years profitable, 40.7% avg, 2.29x PF

Part-Time Friendly

EOD analysis only, ~1 trade/day average

Glossary — Key Terms

Term	Definition
ATR	Average True Range — daily price volatility
CCI	Commodity Channel Index — distance from avg
Chandelier	Trailing stop: Highest High − 3×ATR(14)
EMA	Exponential Moving Average — weighted to recent
Gap-Down	Today's open < yesterday's close
Green Candle	Close > Open — buyers won
IBS	Internal Bar Strength — close in day's range
Keltner	EMA(20) ± 2×ATR(14) envelope
Profit Factor	Total wins ÷ total losses (>1.5 good)
RSI	Relative Strength Index (0-100)
SL	Stop-Loss — exit to limit losses
Support	Price where buyers step in
Swing Low	Local bottom with higher prices both sides
Win Rate	% of profitable trades

Important Risk Notes

1. Past performance does not guarantee future results. Backtest uses historical data with fill/slippage assumptions.

2. Markets can stay irrational longer than you can stay solvent. Systemic crashes cause drawdowns even with stops.

3. 5% SL assumes exit at stop price. Gap-downs may cause larger actual losses.

4. Designed for Nifty 100 liquid large-caps. Do not apply to small-caps or illiquid stocks.

5. Never risk more than you can afford to lose. ₹20L capital is illustrative.

6. Paper-trade for at least 3 months before committing real capital.

JTR

SWING TRADING SYSTEM

"Cut losses short. Let winners run."

Systematic. Diversified. Proven.

Jayaraman | For Discussion Purposes Only